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9.5 Errors disclosed by the trial balance and errors not disclosed by the trial balance

Generally, one-sided errors are revealed by trial balance. They will cause disagreement of totals of debit balances and credit balances. Two-sided errors are not revealed by trial balance. Thus, the errors can be classified on the basis of their effect on the trial balance as follows:

9.5.1 Errors disclosed by the trial balance

Certain errors affect the agreement of trial balance. If such errors have occurred in the books of accounts, the total of debit and credit balances will not be the same. The trial balance will not tally. Error of partial omission and error of commission affect the agreement of trial balance. Examples of such errors are follows:

(i)	Entered in the journal but posted to one account and omitted to be posted to the other.
(ii)	Posting an amount to the wrong side of a ledger account.
(iii)	Posting twice in a ledger account
(iv)	Over-casting or Under-casting in a subsidiary book
(v)	Posting a wrong amount to the correct side of an account
(vi)	Posting a wrong amount to the wrong side of an account
(vii)	Errors arising in carrying forward the page total from one page to the next page of an account or subsidiary book.
(viii)	Errors arising in the balancing of an account.
(ix)	Omission to post an entry from a subsidiary book.

9.5.2 Errors not disclosed by the trial balance

Certain errors will not affect the agreement of trial balance. Though such errors occur in the books of accounts, the total of debit and credit balance will be the same. The trial balance will tally. Errors of complete omission, error of principle, compensating error, wrong entry in the subsidiary books are not disclosed by the trial balance. Examples of such errors are as follows:

(i)	Treating revenue expenditure as capital expenditure
(ii)	Omitting a transaction completely
(iii)	Entering a transaction in a wrong subsidiary book
(iv)	Entering a transaction twice in a subsidiary book or journal
(v)	Entering the amount of a transaction wrongly in the journal
(vi)	Entering the amount of a transaction wrongly in a subsidiary book

9.6 Steps to locate errors

Errors can be located by going through various steps. Such steps are as follows:

9.6.1. Location of errors before preparation of trial balance

Errors may be located before preparing the trial balance either spontaneously or by intentional scrutiny of books of accounts.